PRIVATE EQUITY'S LAW FIRM WORKAROUND: MSOS, RULE 5.4, AND THE GOVERNANCE GAP

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Private equity is moving aggressively into the legal profession—and its oversight infrastructure is wholly unprepared for this generational shift. To work around prohibitions against nonlawyer ownership, investors are repurposing the management services organization (MSO): a split-entity model in which attorneys retain the regulated practice, but investors acquire the firm's operating platform.

This Essay provides the first systematic account of PE investment in law firms and the governance gap in which it is occurring—a vacuum unrecognized by the ABA, state bars, or the courts. The playbook is well-trodden, and the risks are not hypothetical. In just a few years, private equity fundamentally reshaped accounting through hundreds of transactions, with regulators scrambling only after the fact. Law is next.

The MSO model rests on the fragile assumption that "business operations" and "legal practice" can be clearly and durably separated. Healthcare and accounting experience proves otherwise, with similar split-structures consistently exhibiting formality erosion and investor "control creep" through financial and operational pressure. Governance tensions also run deep: the structurally conflicted MSO board must build value while policing its own influence over the interlinked law firm.

The problem is not the MSO per se, but the transactions proliferating in darkness without guardrails. This Essay proposes a three-part governance framework: (i) structural safeguards limiting MSOs to genuine support functions; (ii) independent directors and a board ethics committee; and (iii) ongoing compliance monitoring. The costs of the governance gap—compromised representation and reduced independence—will fall on the public, not investors. The window to act is closing fast.

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Table of Contents

Introduction 3
I. Law Firms, Capital Constraints, and MSOs 5
A. Regulatory Landscape 5
B. The MSO Structure 6
C. The (Limited) Guidance 8
D. Self-Regulation is Insufficient 9
II. Lessons from Healthcare & Accounting 10
A. Healthcare MSO Cautionary Tale 10
1. Gradual Control Creep 10
2. Empirical Review 11
B. Accounting 'Alternative Practice Structures' 12
C. Transferability to Legal Services 13
III. The Fiduciary Tension: *Caremark* and Rule 5.4 14
A. Oversight & The Inversion Problem 14
B. Dual-Fiduciary Challenges 16
C. Information Dependencies 17
IV. A Viable Governance Framework 18
A. Structural and Contractual Safeguards 18
B. Board Composition & Ethics Committee 19
C. Management & Monitoring 20
Conclusion 21

INTRODUCTION

In January 2026, Dudley DeBosier, a leading personal-injury firm, announced a pathbreaking private equity partnership through a Management Services Organization (MSO) model.[1] The MSO is a split-entity structure that separates the regulated legal practice from its associated support services. Dudley's partners retained full ownership of the law firm, while a PE-backed vehicle, Orion Legal, acquired the firm's operating infrastructure.[2] Orion's broader ambition is to serve as a national consolidation platform for personal-injury practices, echoing PE roll-ups in healthcare, accounting, and other sectors.[3]

The Dudley transaction is indicative of a broader shift. U.S. law firms have long enjoyed an unusually insulated business model. Despite growing into large and sophisticated global enterprises, they continue to be financed and governed like small-town partnerships, largely due to prohibitions against non-lawyer ownership through widespread adoption of Model Rule 5.4. That equilibrium is now destabilizing. A confluence of forces—evolving client expectations, capital-intensive AI integration, and broader technological modernization—is increasing the need for outside funding and expertise. Investors are responding through regulatory 'workarounds' like MSOs.

Taking these market dynamics as given—and sidestepping the broader outside investment debate—this Essay focuses on a more immediate question: how should law firm MSOs, the dominant channel for institutional capital, be governed?

The question is urgent because the legal profession is poised for unusually rapid change—for which its governance infrastructure is nowhere near ready. The accounting profession illustrates this dynamic: since 2021, private equity has reshaped that sector through hundreds of transactions, including many of the largest firms—with regulators scrambling only years after the model scaled.[4]

Meanwhile, law firm MSO transactions are proliferating in a supervisory vacuum—leaving consequential policy questions entirely to private ordering. While early deals were concentrated in consumer-facing personal-injury practices, investor and attorney interest is broadening across the market, including higher-end firms. "We have been preparing our firm for the entry of modern finance into the legal sector for over

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[1] Stephanie Riegel, *Dudley DeBosier Looks to Expand Personal Injury Law Firm by Partnering with Private Equity*, THE TIMES-PICAYUNE (Jan. 28, 2026).
[2] Orion acquired Dudley's case-management systems, finance, accounting, human resources, and marketing. Neil Rose, *Private Equity Opens Door to US Law Firms with MSO Deal*, LEGAL FUTURES (Jan. 24, 2026).
[3] BAIN & CO., GLOBAL PRIVATE EQUITY REPORT 2024, at 42–47 (2024) (discussing healthcare and professional services consolidation strategies).
[4] CPA Trendlines Research, *PE Deal Tracker Update*, CPA TRENDLINES (Feb. 16, 2026); Mark Maurer, *Private Equity's Ties to Companies' Auditors Have Never Been Closer. That Worries Some Regulators*, WALL ST. J. (Oct. 30, 2024), https://www.wsj.com/articles/private-equity-has-closer-ties-to-companies-auditors-than-ever-before-ccc8e76f.

a decade," explained an elite boutique founder.[5] Some of the largest firms, including McDermott Will & Schulte, have reportedly considered MSO transactions.[6]

The MSO model is predicated on the fragile assumption that "legal practice" and "business operations" can be clearly and durably separated to preserve professional independence despite the firm's near-total dependence on an investor-controlled platform. The problem is not the structure per se, but the lack of institutional infrastructure required to ensure that separation.

Without guidance, *ex ante* review, or ongoing oversight, the private ordering equilibrium will predictably track investor preferences rather than broader policy considerations. At present, neither the ABA nor state bar associations have issued comprehensive standards for law-firm MSOs. No court has adjudicated the boundary conditions around permissible MSO services. The sparse and inconsistent guidance that exists is insufficient for the scale of institutional capital entering legal services.[7] This is the governance gap—and closing it is critical for three reasons.

First, MSOs create novel fiduciary tensions unaddressed by existing doctrine or literature. Typically, the private equity model emphasizes value creation through active control, subject to *Caremark*-framed oversight duties and associated standards. Inverting this paradigm, MSO boards must police the platform's own influence over the independent—yet closely interlinked—law firm. This is not merely a compliance or drafting problem—it is a structural and governance incongruence inherent to the MSO model.[8]

Second, other sectors offer a sobering preview.[9] Healthcare's three decades of MSO experience shows a pattern of "control creep," where formal separation deteriorates toward de facto control over professional decisions. The accounting sector's post-2021 deal surge has already triggered widespread regulatory scrutiny focused on potential erosion of professional independence.[10]

Third, the governance gap is far from a straightforward conflict between investors and professional standards. Because disciplinary or regulatory action can invalidate a platform, wiping out the investment, sponsors and limited partners have strong incentives to support robust governance. The problem is that

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[5] Kaye Wiggins, *Law firm Cohen & Gresser in talks to sell stake to private equity*, FIN. TIMES (Nov. 24, 2025), https://www.ft.com/content/9487e94f-fa82-4cea-aec3-ebc10ef44d43.
[6] Stephen Foley, et al., *US law firm McDermott Will & Schulte weighs sector's first private equity tie-up*, FIN. TIMES (Nov. 12, 2025), https://www.ft.com/content/3a9d3c27-a692-4389-961c-f4893a80b3b7
[7] *See infra* Part I.C.
[8] *See infra* Part III.
[9] *See infra* Part II.
[10] *See infra* Part II.B.

even as deal templates standardize, market participants lack a baseline understanding of what robust "governance" requires in the law firm MSO context.[11]

This Essay proceeds as follows. Part I maps the MSO model's emergence as a workaround to attorney-specific constraints and details the oversight vacuum in which these transactions are proliferating. Part II examines private equity investment in healthcare and accounting—the predecessors to law firm MSOs—identifying transferable risks, including erosion of professional independence. Part III analyzes the fiduciary tension at the heart of MSO governance, including the novel "inversion problem" that distinguishes it from *Caremark* and familiar corporate paradigms. To ensure that oversight goes beyond compliance checklists, Part IV proposes a governance framework organized around three areas: (i) structural and contractual safeguards; (ii) board composition; and (iii) management and monitoring. The Essay concludes by situating the MSO governance gap within the broader corporate governance and legal profession discourse while identifying areas for future work.[12]

I. LAW FIRMS, CAPITAL CONSTRAINTS, AND MSOS

Law firms are a corporate finance and governance outlier. They are sophisticated, profitable, and increasingly global enterprises that remain financed and governed like small partnerships. The causal drivers are complex but almost certainly include restrictions against nonlawyer ownership of law firms. Notwithstanding legitimate professional responsibility considerations, as a practical matter, these constraints shape the sector's access to capital, ability to recruit technical talent, and capacity to utilize modern governance tools.

This Part of the Essay details why these unique pressures are a factor underlying growing interest in "workarounds" like the MSO model. It then outlines the limited and often conflicting guidance regarding MSO governance and discusses the insufficiencies of self-regulation and private ordering in this context.

A. Regulatory Landscape

Most jurisdictions implement the long-standing prohibition against law firm ownership by nonlawyers through versions of Model Rule 5.4.[13] Though framed around protecting attorney "professional independence," critics argue the measures can entrench insularity and slow innovation.[14] A few

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[11] *See infra* Part IV.
[12] *See infra* note 70 and accompanying text.
[13] Fee sharing with non-lawyers is also prohibited. The provision is often paired with unauthorized-practice-of-law (UPL) constraints. *See* MODEL RULES OF PRO. CONDUCT R. 5.4 (A.B.A. 1983) ("A lawyer shall not practice with or in the form of a professional corporation or association authorized to practice law for a profit, if [] a nonlawyer owns any interest therein . . ."); *see, e.g.,* N.Y.C. BAR ASS'N COMM. ON PRO. ETHICS, Formal Op. 2020-1 (2020).
[14] Lev E. Breydo, *A Floating Law Firm?*, REGUL. REV. (Oct. 7, 2014), https://www.theregreview.org/2014/10/07/breydo-

jurisdictions have experimented with reform, but proposed Rule 5.4 amendments have repeatedly stalled amid ethics-based objections.[15] This Essay does not relitigate that familiar debate.[16] Instead, it highlights an underappreciated structural point: Rule 5.4 and related measures constrain law firms across three increasingly important dimensions: (i) capitalization, (ii) human capital, and (iii) governance.

- **Capital Structure**. Rule 5.4 sharply limits law firm capitalization options. Without outside equity investment, firms must finance growth through partner contributions and retained earnings—capital regularly depleted through distributions.[17] This can render even highly profitable BigLaw firms surprisingly cash constrained, complicating the tradeoff between near-term draws and long-term investments in technology, innovation, and operations. As AI-based tools raise the sector's capital intensity, pressure for alternative financing and governance models will only increase.[18]
- **Human capital**. The restriction against nonlawyer equity ownership also limits incentives for the technologists, operators, and managers increasingly required to drive service quality and scalability. Particularly when compensation and influence are tied professional accreditation, recruiting and retaining this talent becomes harder, potentially slowing institutionalized innovation.
- **Governance**. Finally, Rule 5.4 largely limits law firms to the partnership model, even as they operate large, global businesses with meaningful infrastructure, marketing and technology needs. As legal services become more tech-integrated, scholars anticipate movement toward integrated, multidisciplinary organizations—precisely the form the rule makes hardest to build.[19]

B. The MSO Structure

To work around these constraints, law firms and investors have begun to utilize creative approaches, including the management services organization (MSO) model. The MSO structure is borrowed from healthcare where it has long been used to attract non-physician capital in the shadow of corporate-

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floating-firm/

[15] *See* Justin Henry, *KPMG Passes Key Step in Forming Big Four's First US Law Firm*, BLOOMBERG LAW (Jan. 14, 2025) https://news.bloomberglaw.com/business-and-practice/kpmg-gets-panel-ok-for-arizona-law-firm-first-among-big-four.

[16] Whether the front door should be opened is a separate inquiry from whether the side door needs a lock.

[17] James D. Cotterman, *Law Firm Capitalization,* 34 REPORT TO LEGAL MANAGEMENT, ALTMAN WEIL, INC. 6 (July/Aug. 2007), https://www.altmanweil.com/wp-content/uploads/2022/04/Law-Firm-Capitalization.pdf.

[18] *See* Dan Packel, *Investment in Disruptive Tech Has Never Been a Big Law Priority. Is That Changing?,* LAW.COM (Oct. 28, 2021) https://www.law.com/2021/10/28/investment-in-disruptive-tech-has-never-been-a-big-law-priority-is-that-changing/

[19] John Armour & Mari Sako, *AI-Enabled Business Models in Legal Services,* 7 J. PROF. & ORG. 27, 32 (2020) (noting AI-enabled business models' "reliance on multidisciplinary teams of human capital and outside capital" may be better suited for the corporate form); *see also* Mark A. Cohen, *What's A Lawyer Now? Law's Shift From Practice to Skill*, FORBES (Jan. 11, 2021), https://www.forbes.com/sites/markcohen1/2019/09/23/whats-a-lawyer-now-laws-shift-from-practice-to-skill (predicting shift to "tech-enabled . . . multi-disciplinary global industry").

practice-of-medicine restrictions.[20] Healthcare and law firm MSOs share the common logic of entity separation. In each, the professional practice is partitioned from the business platform (where investors deploy capital), with the entities connected through a long-term management-services agreement (MSA), as shown below.

In a law-firm MSO, the legal practice remains a professional LLC or professional corporation owned 100% by licensed attorneys. It employs the lawyers, holds client engagements, carries malpractice coverage, and retains exclusive authority over core legal functions – client intake, strategy, staffing, settlement posture, fee arrangements, conflicts, and compliance with the Rules of Professional Conduct.

The MSO is a separate entity (often an LLC) and the box where private equity invests. That entity owns and operates the practice's non-legal infrastructure—technology systems, office leases, marketing and advertising, billing and collections, finance and accounting, human resources, and administrative staff. A long-term MSA (often 20–30 years with renewal provisions) obligates the law firm to pay the MSO a management fee in exchange for that suite of services.[21]

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[20] *See infra,* Part II.A. Mark A. Hall, *Institutional Control of Physician Behavior: Legal Barriers to Health Care Cost Containment*, 137 U. PA. L. REV.431 (1988) (tracing origins of corporate practice doctrine); Jessica L. Roberts, *Protecting Privacy to Prevent Discrimination*, 56 WM. & MARY L. REV. 2097 (2015) (discussing MSO evolution in healthcare).

[21] *See* Joshua E. Porte, et al., *Restructuring Law Firms Through Management Service Organizations*, HOLLAND & KNIGHT LLP (July 10, 2025), https://www.hklaw.com/en/insights/publications/2025/07/restructuring-law-firms-through-management-service-organizations (detailing MSO structure in the legal context); Christopher M. Sheaffer, et al., *Private equity and the business of law: Recent market trends in MSOs and alternative structures*, REED SMITH LLP (Feb. 5, 2026); SIDLEY AUSTIN LLP, *Private Equity Investment in U.S. Law Firms: Current Models and Recent Developments* (Nov. 25, 2025); David Horniak, et al., *Managed Services Organizations vs. Alternative Business*

That management fee can present a compliance pressure point. Because revenue or profit-based payment terms can approach prohibited fee sharing, payment terms are typically fixed fee, cost-plus, or benchmarked to arm's-length market rates.[22] In practice, fee structures can become fraught in part due to MSO incentives around scale and profitability growth. Further, pricing is only part of the story. If the MSO controls the systems that route and shape legal work (marketing, intake, staffing tools, performance dashboards), operational leverage can become a functional substitute for professional control.

C. The (Limited) Guidance

Despite the proliferation of law firm MSOs, regulatory guidance is sparse: a small number of ethics opinions and statutes touch on permissibility in broad strokes but have little to say about governance.

Texas has taken the most direct step with a July 2025 Ethics Opinion concluding that, subject to safeguards, a properly structured MSO arrangement can comply with the Texas Disciplinary Rules.[23] Though notable as the first state-level guidance on MSO model permissibility, the opinion is also limited. It does not address the governance infrastructure needed to ensure continuing compliance over a long-term contract life cycle in a dynamic and competitive marketplace.

California, as part of broader regulatory reform, enacted a 2025 statute authorizing limited fee sharing between lawyers and qualifying entities under prescribed conditions.[24] The statute creates a formal pathway for certain forms of nonlawyer economic participation in legal services but does not speak to MSO governance.

Oregon moved in the opposite direction. A 2025 statute aimed at healthcare MSOs restricts overlapping ownership and management between professional medical corporations and the MSOs that serve them.[25] While directed at healthcare, the Oregon measure has been widely interpreted as a signal of heightened scrutiny of split-entity and MSO workarounds for regulated professions— and as a warning that the model's shelf life may be shorter than investors assume.

Arizona avoids the need for an MSO stopgap entirely. Its 2020 Alternative Business Structure regime eliminated Rule 5.4 and permits direct nonlawyer ownership of law firms. Utah's regulatory sandbox

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Structures: Two Models for Outside Investment in Law Firms, DLA PIPER (Jan. 6, 2026); Frederick Shelton, *The Legal MSO: The Next Billion-Dollar Industry*, LAW.COM (Oct. 9, 2025).

[22] The Texas opinion addresses fee structure compliance. TEX. COMM'N ON PRO. ETHICS, Op. 706 (2025).

[23] TEX. COMM'N ON PRO. ETHICS, Op. 706 (2025).

[24] *See* CAL. BUS. & PROF. CODE § 6012 (2025).

[25] OR. REV. STAT. §§ 58.375–.376 (2025).

operates similarly, though with less temporal clarity.[26] But Arizona and Utah are outliers. In most jurisdictions where Rule 5.4 remains, the MSO is the only scalable route to institutional capital—and it operates in a guidance vacuum.

That vacuum is stark. No state bar has issued model governance standards for law firm MSOs. No court has adjudicated the boundary between permissible management services and impermissible control of legal practice. No regulatory body has established a registration, notification, or approval process for law firm MSO transactions. The ABA reaffirmed support for Rule 5.4 in 2022 without addressing the governance questions MSOs pose, even as the structure becomes the de facto channel for outside capital.[27]

D. Self-Regulation is Insufficient

As it stands, law firm MSO governance has largely been left to private ordering. The practitioner literature—client alerts, white papers and conference presentations—genuinely attempts to engage with the compliance challenge and presents sensible documentation suggestions.[28] The disconnect is that law firm MSO problems go far beyond compliance, with *governance challenges* that are endogenous to transaction economics.

That endogeneity matters because the MSO structure concentrates operational leverage in the investor-owned entity while leaving the lawyer-owned firm as the regulated professional counterparty. Stronger safeguards can reduce Rule 5.4 risk but may also constrain the sponsor's ability to drive growth. The private ordering equilibrium will thus trend towards reflecting the sponsor's risk tolerance rather than an objective assessment of professional independence requirements. With little enforcement precedent, baseline governance may be based on an artificially benign environment—until a disciplinary or legislative action forces recalibration.

To put it differently, the split-entity structure creates the core governance problem: the parties with compliance obligations (the lawyers and the professional firm) may not control the risk-generating systems, while those with the requisite control (the MSO and its sponsor) may not owe professional duties to clients. Part II of the Essay turns to the healthcare and accounting sector experiences with outside

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[26] Ariz. Sup. Ct. Admin. Order No. 2020-109 (Aug. 27, 2020); Jayne R. Reardon, *Nonlawyer Ownership Is Not the End of Professionalism*, ABA L. PRAC. MAG. (July–Aug. 2024) (52 ABS licenses approved as of fall 2023 with no reported disciplinary actions).
[27] ABA RES. 402 (Aug. 2022) (reaffirming ABA support for Rule 5.4 as "innovation can occur without changing the prohibition on fee sharing by lawyers").
[28] The practitioner literature recommends governance features including compliance officers, ethics protocols, and clear delineation of authority—sensible measures that nonetheless fall short of the proposal discussed in Part IV. *See* note 21 and associated text.

capital to identify recurring regulatory pressure points and responses. Building on those parallels, Part III considers the fiduciary and oversight implications for lawyer-controlled firms operating alongside investor-controlled MSOs—including how (and whether) a Caremark-style oversight framework should adapt to this split-entity structure.

II. LESSONS FROM HEALTHCARE & ACCOUNTING

The law firm MSO is not the first professional-services workaround designed to balance capital needs with professional independence. Healthcare has used MSOs since the 1990s; more recently, since the early 2020s, the accounting profession has employed the Alternative Practice Structures (APS) model. The regulatory regimes differ, but the governance risk is similar: when economic power and operational levers sit outside the regulated practice, formal separation can drift into functional control.

A. Healthcare MSO Cautionary Tale

The healthcare MSO model emerged in the 1990s under corporate practice of medicine (CPOM) restrictions that limit corporate employment of practicing physicians. Like Rule 5.4, CPOM aims to keep professional judgment in professional hands, creating a familiar constraint: the MSO must not direct or control clinical practice.[29] Healthcare's experience is cautionary for two reasons: (i) the porous line between "management" and professional practice can devolve into de facto control; and (ii) growing evidence of PE investment being associated with adverse patient and cost impacts.[30]

1. Gradual Control Creep

The healthcare enforcement record shows a consistent pattern. Reasonably structured arrangements—governance separation, independent practice boards, clear MSAs, compliance protocols—can evolve toward greater MSO influence over clinical decisions. The mechanism is incremental: the MSO hires the practice's office manager, then its billing staff, then its scheduling coordinator, then implements intake systems that channel patients based on revenue optimization. Each individual step may be defensible as a business function. Cumulatively, they can transform the MSO from a service provider into a de facto practice manager.[31]

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[29] *See* Mark A. Hall, *Institutional Control of Physician Behavior: Legal Barriers to Health Care Cost Containment*, 137 U. PA. L. REV.431 (1988); Hayden Rooke-Ley, et al., *The Corporate Backdoor to Medicine: How MSOs Are Reshaping Physician Practices*, MILBANK MEMORIAL FUND (Apr. 2025).
[30]David A. Hyman & William M. Sage, *Subsidizing Health Care Providers Through the Tax Code: Status or Conduct?* 25 HEALTH AFF. (2006).
[31] Office of Inspector Gen., *Compliance Program Guidance for Hospitals*, 63 Fed. Reg. 8,987 (Feb. 23, 1998); Office of Inspector Gen., *Compliance Program Guidance for Individual and Small Group Physician Practices*, 65 Fed. Reg. 59,434 (Oct. 5, 2000).

Regulators treat this "control creep" as more than a formality issue. HHS OIG guidance stresses that compliance must have authority and direct reporting to the governing board—an institutional check designed to resist operational dominance. State medical boards and attorneys general have challenged structures where ownership and management overlap across the MSO and practice. For instance, an emergency physicians' group accused KKR-controlled Envision Healthcare of violating California CPOM restrictions by controlling staffing, scheduling, and billing of the nominally physician-owned entity.[32] Blackstone-owned entities faced similar allegations of improper clinical control.[33] These concerns have also prompted legislation, including Oregon limits on MSO control[34] and California prohibitions on MSO interference with physicians' judgment.[35] Several other states have considered comparable bills, and a growing number now require formal notice for healthcare provider transactions.[36]

The takeaway is simple: entity separation is necessary but rarely sufficient. Without real independent oversight and enforceable boundaries, economic integration predictably blurs the line between business management and professional practice.[37]

2. Empirical Review

The empirical literature on private equity in healthcare is also sobering.[38] A widely cited 2024 study found PE nursing-home acquisitions were associated with higher short-term mortality among Medicare patients, linked to staffing reductions.[39] Studies of PE-owned emergency departments, dermatology practices, and

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[32] The case was stayed by Envision's bankruptcy and then appears to have been resolved through a settlement that included Envision exiting the California market. *See* Am. Acad. of Emergency Med. Physician Grp., Inc. v. Envision Healthcare Corp., No. 3:22-cv-00421 (N.D. Cal. 2024).
[33] Hosp. Internists of Tex., P.A. v. Quantum Plus, LLC, No. D-1-GN-23-000123 (200th Dist. Ct., Travis County, Tex. filed Jan. 2023). Blackstone Group owns TeamHealth Holdings, which controls Quantum Plus.
[34] OR. SB 951, 83d Leg. Assemb., Reg. Sess. (Or. 2025) (signed June 9, 2025) (barring MSOs from controlling medical entities with express prohibitions on clinical staffing, coding, pricing, and billing).
[35] CAL. BUS. & PROF. CODE § 2402.5 (West 2025) (enacted by SB 351).
[36] *See* Consumer Fin. Servs. Law Monitor, *States Tighten Oversight of Private Equity in Health Care* (Dec. 4, 2025); AM. MED. ASS'N, STATE MOMENTUM GROWS TO CURB CORPORATE INFLUENCE IN HEALTH CARE (Nov. 12, 2025).
[37] Rai Hasen Masoud, *Medicine in the Age of Private Equity: The Ethics of Profit in Patient Care*, THE DENNY CENTER FOR DEMOCRATIC CAPITALISM (GEORGETOWN LAW) (Oct. 21, 2025), https://www.law.georgetown.edu/denny-center/blog/medicine-private-equity/.
[38] Edward P. Hoffer, *Private Equity and Medicine: A Marriage Made in Hell*, 137 AM. J. OF MED. (Jan. 2024), https://www.amjmed.com/article/S0002-9343(23)00589-2/fulltext.
[39] Atul Gupta, et al., *Owner Incentives and Performance in Healthcare: Private Equity Investment in Nursing Homes*, 37 REV. FIN. STUD. 1029 (2024).

ophthalmology practices have documented increased costs and higher complication rates.[40] A 2023 meta-study likewise found cost increases across most healthcare settings and at best mixed effects on quality.[41]

Direct translation to legal services is imperfect: legal outcomes are harder to measure, information asymmetries differ, and healthcare regulation is more mature. But the structural tension is familiar. When sponsors pursue return targets on a finite horizon—and particularly when they are behind those targets—platform incentives push toward throughput and monetization. In practice, that can shape case selection, workflow standardization, settlement timing, and leverage ratios. The risk is not that investors "practice law," but that operational control reshapes professional judgment in ways clients cannot readily observe ex ante.

B. Accounting 'Alternative Practice Structures'

The accounting profession offers a second—and potentially closer—comparator.[42] Since 2021, PE investment in accounting firms has accelerated (approximately 147 deals through 2025),[43] suggesting the multi-year headstart may help preview governance questions likely faced by law firm MSOs.

In accounting, the key investment vehicle is the Alternative Practice Structure (APS). Like a law-firm MSO, it uses formal separation—but with a twist: attest (audit) practices must remain CPA-majority owned, while non-attest advisory lines (which often operate under the same roof) typically face no comparable ownership constraint.[44] APS transactions therefore split a CPA-owned attest firm from a PE-backed advisory entity (tax, consulting, wealth management), often giving the sponsor a larger economic stake than a law-firm MSO allows.[45]

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[40] Joseph D. Bruch, et al., *Changes in Hospital Income, Use, and Quality Associated with Private Equity Acquisition*, 180 JAMA INTERNAL MED. 1428 (2020); Yashaswini Singh, et al., *Association of Private Equity Acquisition of Physician Practices with Changes in Health Care Spending and Utilization*, 182 JAMA INTERNAL MED. 442 (2022).
[41] Ashley Borsa et al., *Evaluating Trends in Private Equity Ownership and Impacts on Health Outcomes, Costs, and Quality: Systematic Review*, 382 BMJ e075244 (2023).
[42] Inna Abramova & John M. Barrios, *Financializing the Professions: The Rise of Private Equity in Accounting*, NAT'L BUREAU ECON. RSCH., Working Paper No. 34575 (Dec. 2025), https://doi.org/10.3386/w34575.
[43] Illustrative transactions include Apax Partners' investment in CohnReznick, New Mountain Capital's majority stake in Grant Thornton's advisory practice, and Hellman & Friedman's investment facilitating Baker Tilly's merger with Moss Adams. *See* Andrew Kenney, *Private Equity Eyes Accounting Firms Large and Small*, J. ACCT. (Feb. 1, 2023), https://www.journalofaccountancy.com/issues/2023/feb/private-equity-eyes-accounting-firms-large-and-small/; Jeff Drew, *Private Equity's Push into Accounting*, J. ACCT. (Oct. 6, 2021), https://www.journalofaccountancy.com/news/2021/oct/private-equity-push-into-accounting/.
[44] 17 C.F.R. § 210.2-01 (2023) (establishing auditor independence requirements); AM. INST. CERTIFIED PUB. ACCOUNTANTS, *Code of Prof'l Conduct* §§ 1.220.020, 1.810.050 (2025), https://pub.aicpa.org/codeofconduct/ethicsresources/et-cod.pdf.
[45] In accounting, the PE-backed entity captures revenue directly; in law, the MSO is limited to management fees.

Here, the central governance risk is auditor independence—specifically, the PE-backed advisory entity not compromising the attest entity's professional judgment.[46] Regulators have begun to stress-test the APS model. The SEC is "closely monitoring" PE-driven structural changes for risks to audit quality and independence,[47] and the PCAOB has similarly flagged PE investment as an inspection priority, emphasizing independence threats.[48] The profession has also moved to update its own rules. In 2023, the AICPA concluded existing independence standards were insufficient and convened a task force on PE-backed structures; after notice and comment, it voted in 2025 to circulate draft amendments—its most significant Code updates since 2000.[49] The proposal acknowledges that legacy rules may be ill-suited to PE sponsors and highlights "undue influence" threats when investors participate in strategic, budgetary, or compensation decisions affecting auditors.[50] International standard-setters have echoed concerns regarding "ethical and independence implications" of PE investment in accounting firms.[51]

C. Transferability to Legal Services

Notwithstanding important differences between healthcare, accounting and law, the above discussion shows three common and likely transferable themes. First, independence concerns are not speculative. Indeed, a common risk is that notwithstanding formal separation, a PE-controlled affiliated entity has incentives to expand operational control to reduce costs and increase throughput. In healthcare, that mechanism has produced documented harm; in accounting, it has already independently triggered SEC, PCAOB and AICPA scrutiny. Second, regulation often lags the market; despite federal oversight, it took years to formalize healthcare or accounting reform proposals. The legal profession is exposed to the same pressure—but with less external supervision—suggesting reliance on market forces and private ordering may prove insufficient. Third, law firm MSOs are expressly importing deal mechanics from healthcare

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[46] Maria Nykyforovych Borysoff, et al., D*oes Private Equity Investment in Accounting Firms Affect Perceived and Actual Audit Quality*? (PCAOB Econ. & Risk Analysis Conference Paper, 2025) (noting governance challenges raised by Grant Thornton where PE-controlled advisory practice has an MSA with the firm's audit entity—a structure that mirrors a law firm MSO structure.).

[47] Kurt Hohl, *Statement in Connection with the 2025 AICPA Conference on Current SEC and PCAOB Developments*, SEC. & EXCH. COMM'N (Dec. 19, 2025), https://www.sec.gov/newsroom/speeches-statements/hohl-statement-aicpa-conference-121925 ("structural changes in audit firms, including those driven by private equity . . . also introduce risks, particularly with respect to audit quality and independence.").

[48] Deloitte & Touche LLP, *Heads Up: Summary of the 2025 AICPA & CIMA Conference on Current SEC and PCAOB Developments* (Dec. 11, 2025)

[49] Bryan Strickland, *AICPA Proposes Changes to Independence Guidelines Related to Private Equity*, J. ACCT. (Dec. 19, 2025); Eric Knickrehm, et al, *AICPA Proposes Significant Changes to Ethics Rules,* MONDAQ (Feb. 11, 2026).

[50] AM. INST. CERTIFIED PUB. ACCOUNTANTS, PROPOSED REVISIONS RELATED TO ALTERNATIVE PRACTICE STRUCTURES (Dec. 29, 2025); Eric J. Knickrehm, et al*., AICPA Proposes Significant Changes to Ethics Rules*, WINSTON & STRAWN (Feb. 9, 2026).

[51] INT'L ETHICS STANDARDS BD. FOR ACCTS, PRIVATE EQUITY INVESTMENT IN ACCOUNTING FIRMS: KEY ETHICS AND INDEPENDENCE CONSIDERATIONS (July 2025), https://ifacweb.blob.core.windows.net/publicfiles/2025-07/IESBA%20Staff%20Alert%20-%20PEI%20-%20Final%20%287.31.25%29_0.pdf.

MSOs and accounting APS transactions—including multi-layer payment models, MSA provisions, and separation architectures. Using the template means carrying over its governance risks.

For law firm MSOs, the governance problem concerns the boundary between business and legal services: If economic power and operational control concentrate outside the firm, who has the duty—and ability—to police that boundary and protect client interests? The legal profession has the advantage of being third. To take advantage of moving third, the remainder of this Essay focuses on incorporating lessons from healthcare and accounting to identify likely risks and close the governance gap before it imperils the profession.

III. THE FIDUCIARY TENSION: *CAREMARK* AND RULE 5.4

The law firm MSO model creates a genuine fiduciary paradox. The emerging practitioner literature treats governance as an implementation problem, readily manageable through entity structuring, MSA drafting and compliance protocols.[52] That framing misses the deeper structural issue. An MSO is designed to support (and profit from) a law firm's growth while limiting its own influence to avoid exercising professional control. That constraint is not just a compliance challenge. It produces fiduciary obligations—including an oversight duty—that are in persistent tension irresolvable by careful drafting alone.

A. Oversight & The Inversion Problem

Delaware oversight doctrine begins with *Caremark*: directors may face liability for a sustained or systematic failure" to implement or monitor reasonable information and reporting systems.[53] *Stone v.*

[52] The practitioner literature addresses governance as a transactional design problem—how to structure the MSO so that it complies with applicable rules—rather than as a fiduciary problem embedded in the structure itself. *See supra* note 21. The relevant legal literature has not yet engaged with MSO governance. *See, e.g.,* Renee Newman Knake, *Democratizing the Delivery of Legal Services*, 73 OHIO ST. L.J. 1 (2012) (arguing for Rule 5.4 reform); Gillian K. Hadfield, *The Cost of Law: Promoting Access to Justice Through the (Un)Corporate Practice of Law*, 38 INT'L REV. L. & ECON. 43 (2014) (analyzing ownership restrictions and market structure); John S. Dzienkowski & Robert J. Peroni, *Multidisciplinary Practice and the American Legal Profession*, 69 FORDHAM L. REV. 83 (2000) (providing a comprehensive treatment of nonlawyer investment structures, predating MSO model).

[53] In re Caremark International Inc. Derivative Litigation, 698 A.2d 959, 970 (Del. Ch. 1996) ("[A] director's obligation includes a duty to attempt in good faith to assure that a corporate information and reporting system, which the board concludes is adequate, exists, and that failure to do so under some circumstances may, in theory at least, render a director liable for losses caused by non-compliance with applicable legal standards.").

Ritter situated this doctrine in the duty of loyalty through bad faith;[54] *Marchand v. Barnhill* emphasized tailoring oversight to business-specific, "mission critical" risks.[55]

For a law firm MSO, that mission-critical risk is the boundary between permissible business support and interference with the professional independence of legal services. If the MSO crosses that divide, the entire structure becomes a vehicle for unauthorized practice of law and impermissible fee-sharing, inviting bar discipline for the firm, regulatory challenge for the MSO, and loss of value for investors. To avoid breaching their duty of loyalty, a *Caremark*-compliant MSO board needs systems that detect and deter boundary drift—clear protocols, independent ethics review, escalation channels, and regular reporting.

In the conventional *Caremark* setting, directors oversee employees and agents to prevent violations of law. The threat is internal misconduct; the board's job is to ensure reporting systems surface and correct it. The MSO inverts this paradigm. The locus of risk is not employee conduct, but the MSO itself exercising *too much influence* over a separate entity's professional decisions. Oversight therefore becomes self-constraining: rather than policing subordinates, the board must prevent the MSO from converting operational leverage into professional control.

This is a novel governance problem, particularly acute for PE-backed MSOs. Typically, the sponsor governance playbook is built around concentrated and active control - board influence, reserved matters, incentives, and (often) leverage - to drive operational change and value-creation. Here, governance must be self-limiting: the investor must push to an uncertain line and then stop, with little adjudicated guidance on where the line lies—but outsized consequences for crossing it. Unlike public-company settings where independence rules and committee structures provide formal backstops, the MSO's guardrails are largely privately ordered and often sponsor-designed.

Consider the practical tensions. The MSO board can approve marketing spend and lead-generation strategy—classic business functions. Yet those choices affect case mix and volume, and thus the firm's allocation of attorney time and strategic priorities. Similarly, the MSO may design intake and triage tools (including AI-enabled systems) to improve conversion and throughput. But technology development choices can indirectly implicate legal judgment, including matter selection, categorization and expected value assessment. The challenges extend to personnel matters. An MSO chief marketing officer reporting to the MSO's CEO must also communicate daily with the law firm's managing partner about lead

[54] Stone v. Ritter, 911 A.2d 362, 370 (Del. 2006).
[55] Marchand v. Barnhill, 212 A.3d 805, 824 (Del. 2019) (finding directors of Blue Bell ice cream company "did not make the good faith effort that Caremark requires" because they had not implemented board-level system for monitoring food safety compliance—despite it being "essential and mission critical" to the company's operations).

conversion, settlement velocity, and case throughput. When does discussion about operationally important metrics become the kind of pressure on legal decision-making that Rule 5.4 was designed to prevent?

These are not edge cases, but the daily operating questions of a law firm MSO. The practitioner literature approaches governance as a straightforward application of existing doctrine,[56] but MSO realities depart from the conventional *Caremark* paradigm and oversight duty. Here, to achieve more than paper compliance, a viable governance apparatus must identify the line between operational coordination and professional control—and when necessary, constrain the MSO's own economic objectives and momentum.

B. Dual-Fiduciary Challenges

The inversion problem is compounded by "dual-fiduciary" challenges common to PE portfolio companies. Generally, the sponsor appoints directors who owe fiduciary duties to the company and its stockholders. The fund's typically large stake aligns its interests with the portfolio company: build value and exit. Conflicts can certainly exist – including timing, leverage, and fees – but the baseline is aligned incentives.

In a law-firm MSO, this alignment fractures.[57] Compliance with Rule 5.4 depends on the MSO refraining from the very type of influence that typically drives value creation. More specifically, the sponsor-appointed MSO director (i) owes fiduciary duties to the MSO entity, but (ii) also through fund governance documents often has contractual obligations to limited partners. Sponsor-employed MSO directors may also have associated fiduciary duties to the private equity firm.[58]

Yet compliance with the professional responsibility divide—essential to the MSO's very right to exist—may require that the MSO *refrain from* exercising the operational control that is typically the primary mechanism for value creation. The PE director must simultaneously pursue value maximization but also accept authority limitations. These objectives are not merely in tension but in structural opposition. While the pressure is unlikely to manifest during benign market conditions, it could quickly snowball during stress periods causing the edifice to promptly collapse.

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[56] *See, e.g.,* Holland & Knight, *supra* note 10 (recommending compliance officer and ethics protocols); David Holt, *The MSO Model for Law Firms: A Strategic Guide for the Entrepreneurial Lawyer*, HOLT LAW LLC (2025) (providing a practitioner-oriented governance checklist).
[57] Guth v. Loft (Del. 1939); Broz v. Cellular Info. Sys. (Del. 1996).
[58] In simplified terms, the obligations to fund LPs broadly encompass preserving value and maximizing the return on their investment. *See generally*, Travis Laster & John Mark Zeberkiewicz, *The Rights and Duties of Blockholder Directors*, 70 BUS. LAW. 33 (2015).

Standard conflicted-transaction doctrines are an awkward fit for this dual-fiduciary problem. Delaware's entire fairness standard, which governs self-dealing transactions by controlling shareholders, addresses a fiduciary extracting value from minority holders.[59] Here the risk is different: ordinary value-maximizing governance may itself produce the prohibited influence that undermines the structure's legality. The tension is not between the PE fund and other MSO stakeholders, but between economic objectives and professional-independence constraints—and it sits inside day-to-day governance rather than discrete deals.

Correspondingly, the *MFW* framework—which provides procedural cleansing for transaction-specific conflicts—is difficult to operationalize here.[60] The MSO conflict is not transactional, but an *ongoing* governance posture embedded in both routine and board-level decisions—from budgeting to hiring and technology selection to growth strategy. There is no discrete transaction to condition on independent approval; conflict is endogenous to the operating model itself.

C. Information Dependencies

The fiduciary tension is compounded by information dependence across the entity boundary. The MSO and its board cannot allocate resources or design systems without visibility into the firm's matters, revenues, and workflows. Similarly, the law firm cannot make practice decisions without understanding MSO constraints and capabilities. The coordination required for a viable business therefore necessitates information flows.

But information flows are also influence channels. When the MSO's CEO discusses the firm's case-acceptance patterns with the managing partner to calibrate marketing spend, is that a business discussion or an impermissible attempt to steer professional judgment? When the MSO's data analytics team shares reports on settlement values by case type, enabling the firm's lawyers to benchmark their performance, is that a technology service or a subtle pressure to prioritize high-value settlements? The distinction depends entirely on context, intent, and effect—none of which can be specified *ex ante* by structural rules.

A *Caremark*-compliant monitoring system must somehow police these information flows without impeding the legitimate operational coordination that makes the MSO structure functional. Too little monitoring invites incremental encroachment; too much makes the MSO unable to deliver the services for

[59] Weinberger v. UOP, Inc., 457 A.2d 701 (Del. 1983) (establishing entire fairness as the standard of review for controlling shareholder transactions); Kahn v. Lynch Commc'n Sys., Inc., 638 A.2d 1110 (Del. 1994) (applying entire fairness where a controlling shareholder stands on both sides of a transaction).
[60] Kahn v. M&F Worldwide Corp., 88 A.3d 635 (Del. 2014) (Under MFW a controlling shareholder transaction is reviewed under the business judgment rule if it is conditioned on approval by both an independent special committee and a majority of the minority shareholders.)

which the firm is paying. The board must calibrate this delicate balance—and it must do so in the absence of any regulatory guidance on where the line is located.

These considerations are particularly acute for private equity "roll-up" platforms, like Orion Legal, which may contemplate shared back-office functions across firms, raising novel information and disclosure challenges. The risks are likely to only increase with growing technological complexity and integration into legal practice.[61]

The point is not that law-firm MSOs are incurably problematic, but that the governance problem is far harder than the current practitioner literature acknowledges—and other sectors' experience offers cautionary analogs. The next Part of the Essay proposes a minimum governance framework aimed at mitigating these tensions and providing clearer guardrails for the sector.

IV. A VIABLE GOVERNANCE FRAMEWORK

Law firm MSO governance requires far more than compliance checklists. The healthcare and accounting enforcement record demonstrates that formal separation is fragile without active oversight. And the law firm MSO model means that supervision is far more complex than the familiar governance paradigm.

Leveraging the earlier analyses, this Part of the Essay proposes a minimum governance framework for law firm MSOs. The suggestion is deliberately modest. Rather than a ceiling, it sets a floor implementable through multiple pathways—ABA guidance, bar association opinions or state-level legislation—and across jurisdictions without full-scale reform. The proposal focuses on: (i) structural and contractual safeguards; (ii) board composition; and (iii) management and monitoring.

A. Structural and Contractual Safeguards

At the outset, the critical starting point is establishing entity scope and structure: An MSO should house the platform's support services—not legal practice. While separating the two is likely more difficult than it appears, the legal services value chain—a model introduced in the author's prior work—can help crystalize the boundaries.[62] In value-chain terms, the MSO can provide "support services" (technology, HR, finance, facilities, marketing), while the law firm retains authority over "primary activities"—including core legal workflows, client selection, strategy, staffing, settlement, conflicts, and fee arrangements. The MSA can convert that demarcation into enforceable rights, at minimum: (i) reserving

[61] *See supra* Part I.A.
[62] Lev E. Breydo, *Unbundled: Reconceptualizing Legal Practice for the AI Age*, NW. J. TECH & IP (forthcoming) (developing a Legal Services Value Chain that distinguishes primary legal activities from support activities)

substantive legal decisions to the firm; (ii) prohibiting the MSO from directing, pressuring, or incentivizing legal judgment; and (iii) giving the firm practical tools to verify compliance.

A contractual failsafe mechanism is also critical. If the governance mechanisms fail to prevent operational overreach, the firm must be able to walk away. Correspondingly, the MSA should provide the law firm a unilateral termination right in the event of material MSO interference with attorney independence, client confidentiality, or professional judgment. Subject to delineated safeguards and notice, exercise must be financially feasible—meaning no make-whole fees, liquidated damages, or restrictive covenants—otherwise, the right exists only on paper.

In addition, the MSA should include assignment restrictions requiring the law firm's written consent for the PE sponsor to transfer any of its MSO interest. This measure ensures that the law firm is not forced into a commercial relationship with an operator it did not choose. Relatedly, governance frameworks should incorporate MSO capital structure limitations, particularly to ensure that it does not take on excessive debt risking financial distress that could spill over to the law firm and potentially also cause an involuntary change of control.[63]

B. Board Composition & Ethics Committee

Structural and contractual safeguards are fragile without robust governance—making board composition critical. As a threshold matter, each of the law firm and the MSO should have separate boards, with law firm representation on the MSO board—but not vice versa, as the MSO should not have a financial interest in the law firm.

Ideally, law firm MSO boards should be composed of a majority of independent directors, consistent with public company requirement and best practices for regulated entities.[64] Given sponsor constraints, however, the bare minimum should be at least one independent director that serves as chair. Beyond traditional independence tests, the director should not have any: (i) financial relationship to the PE sponsor; or (ii) ownership or economic interest in the affiliated law firm.[65] The independent director should have credible expertise in professional responsibility or regulated-industry governance—for instance, as a state bar official, a legal ethics academic, retired partner, or a former healthcare MSO regulator.

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[63] Such capital structure limits would not be unprecedented. The NFL, for instance, limits team-level debt applicable to PE owners. Neil Barlow, et al., *The NFL Opens its Door to Private Equity*, Clifford Chance (Sept. 2024), https://www.cliffordchance.com/content/dam/cliffordchance/briefings/2024/09/financial-investors-in-the-nfl.pdf
[64] N.Y.S.E. Listed Co. Manual § 303A.01–.02 (requiring majority-independent boards and independent nominating, compensation, and audit committees for listed companies).
[65] Financial interests should be broadly defined, applicable to immediate family and subject to a 5-year look-back.

The MSO board should have an independent director-chaired standing Ethics and Professional Independence Committee ("Ethics Committee") to monitor the boundary between management services and influence over legal practice. The Committee's ongoing mandate should include: (i) reviewing the MSA and amendments for ethics violations or independence risks; (ii) monitoring MSO management decisions—including marketing, technology, staffing, and resource allocation—for potential legal practice encroachment; (iii) conducting periodic reviews of MSO-law firm communications to identify patterns of impermissible influence. The Ethics Committee should also retain authority to veto any MSO or Board action that presents a material risk of ethical or professional independence violation.[66] This veto is the mechanism that gives MSO governance teeth; otherwise, the Ethics Committee risks becoming a witness rather than a counterbalance.

C. Management & Monitoring

The MSO should employ a dedicated Chief Compliance Officer (CCO) with responsibility for professional-independence compliance. The CCO should monitor day-to-day operations for encroachment into legal practice, document MSO–law firm touchpoints regarding case-related matters, conduct regular ethics and compliance trainings for MSO employees, and serve as the primary liaison with state bar authorities. Critically, the CCO should report to the Ethics Committee rather than the MSO CEO. This reporting structure, borrowed from the OIG's healthcare compliance guidance, ensures the CCO's independence.[67] Reporting to the CEO would create a conflict, particularly if the CCO function is perceived as constraining the MSO's financial performance, which is likely paramount for the CEO.

The MSO should also engage independent outside ethics counsel to conduct an annual compliance review.[68] The audit should assess and confirm that: (i) the MSO's operations, communications, and governance have remained within the permissible management services boundary; (ii) the management fee structure avoids functioning as de facto fee-sharing; (iii) information flows between the MSO and the law firm are appropriately controlled; and (iv) operational changes have not altered the risk profile of the arrangement (and if they have, the steps being taken to mitigate the risk). The audit results should be

[66] Office of Inspector Gen., Compliance Program Guidance for Individual and Small Group Physician Practices, 65 Fed. Reg. 59,434 (Oct. 5, 2000) (describing compliance risks in managed-care contracting arrangements).
[67] Office of Inspector Gen., Compliance Program Guidance for Hospitals, 63 Fed. Reg. 8,987 (Feb. 23, 1998) (establishing framework for institutional compliance); In re Caremark Int'l Inc. Derivative Litig., 698 A.2d 959, 970 (Del. Ch. 1996).
[68] This should not be the firm that advised on the original transaction or one with a relationship to the PE sponsor.

reported directly to the Ethics Committee, with a copy provided to the law firm's equity partnership or governing body.[69]

The annual audit provides a systematic check on compliance drift—or gradual boundary erosion documented in the healthcare enforcement record—and a contemporaneous record relevant for any disciplinary or regulatory proceeding. MSO directors who can demonstrate that they commissioned and acted upon independent ethics audits are in a substantially stronger position—under *Caremark* and under state professional conduct rules—than directors who relied on management assurances alone.

CONCLUSION

The governance gap described in this Essay is not static—and the pace of private equity investment in legal services is accelerating. Each transaction creates market acceptance, data points, and precedent that institutionalizes the model and lowers the threshold for the next. As the accounting experience shows, alignment of interests between investors and target firms can drive rapid proliferation—transforming a sector in the process.

That trajectory makes governance urgent. Rather than waiting for disciplinary action, the legal sector has the capability—and arguably the responsibility—to establish appropriate oversight frameworks *ex ante*. The challenge is underappreciated precisely because the structural tension between value maximization and authority limitation is so deeply embedded in the MSO model—with the conflict endogenous to routine governance rather than visible at the transaction level. While closing the governance gap does not mean banning MSOs, it does require governance beyond paper separation. This Essay's framework—focusing on structural safeguards, board composition, and management oversight—provides practical measures that align investor, professional, and policy interests while positioning the sector for responsible growth.

Deeper questions—regarding structural capture and economic integration, the application of *Caremark* duties to MSO directors, and long-term professional governance models—remain for future work.[70] For now, the imperative is clear: before a crisis forces the issue, the profession must close the governance gap on its own terms while that window remains open—it will not be much longer.

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[69] This recommendation is modeled on the OIG's "compliance program effectiveness review" concept. OFFICE OF INSPECTOR GEN. & HEALTH CARE COMPLIANCE ASS'N, *Measuring Compliance Program Effectiveness: A Resource Guide* (Mar. 2017).

[70] This Essay identifies but leaves for future work certain doctrinal tensions, many of which are explored in a new project tentatively titled *Structural Capture: Fiduciary Duty, Professional Independence, and the Law Firm MSO* (work in progress, anticipated summer of 2026) (situating fiduciary duty alongside professional-independence regulation in economically integrated professional-services platforms).